



Term Evaluation Theory (Even) Semester Regular Examination February 2026

Roll no.

Name of the Course: B. Com (H)

Semester: VI

Name of the Paper: Financial Derivatives

Paper Code: BCH 604 (F10)

Time: 1.5-Hour

Maximum Marks: 50

Note:

- (i) Answer all the questions by choosing any one of the sub-questions
- (ii) Each question carries 10 marks.

Q1. (10 Marks)

a. "State the present condition of the derivatives market in India and describe the types of derivatives commonly traded." CO1

OR

b. Analyse why derivatives are considered both risk-management tools and speculative instruments. CO3

Q2. (10 Marks)

a. Analyse the effectiveness of currency futures as a hedging instrument for importers and exporters with suitable example. CO3

OR

b. Evaluate the relevance of derivatives in the context of increasing market-volatility. CO4.

Q3. (10 Marks)

a. Explain the concepts of early delivery, extension, and cancellation of forward contracts. CO2

OR

b. The U.S. dollar is selling in India at 90.50. If the interest rate for a 6-months borrowing in India is 7% p.a. and the corresponding rate in U.S. is 4%. Calculate expected 6-months forward rate for \$ in India and rate of forward premium or discount? CO1

Q4. (10 Marks)

a. Mr. Sunil has purchased a 3-months call with exercise price of Rs 90 at a premium of Rs. 4 and a 3-months put with the same exercise price at a premium of Rs. 3. Find out his net payoff if the share goes up to 93 or goes down to 85 on the date of expiration. CO3

OR

b. Explain covered call strategy? How is it different from the protective put? CO3

Q5. (10 Marks)

a. Explain put-call parity theory and discuss the effect of dividends on option pricing. CO2

OR

b. Explain the Black-Scholes option pricing model and discuss its assumptions and limitations. CO1